IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

In the matter of an application for Mandates in the nature of *Writs of Certiorari,* and *Prohibition* under and in terms of Article 140 of the Constitution of the Democratic Socialist Republic of Sri Lanka.

C.A. (Writ) Application

No: 0273/2022

Sri Lankan Airlines Limited,
Airline Centre,
Bandaranaike International Airport,
Katunayake.

PETITONER

Vs.

1. Commissioner General of Labour,
   Labour Secretariat,
   No. 41, Kirula Road,
   Colombo 05.

2. Assistant Commissioner of Labour,
   District Labour Office,
   Negombo.

3. D. M. R. Bandara,
   Labour Officer,
   District Labour Office,
   Negombo.

4. Capt. Suranga Samarasekera,
President, Airline Pilot's Guild of Sri Lanka,
No. 216/45, Diyawanna Place,
Welikada,
Rajagiriya.

5. Airline Pilot's Guild of Sri Lanka,
No. 216/45, Diyawanna Place,
Welikada,
Rajagiriya.

RESPONDENTS

Before : Dhammika Ganepola, J.
Adithya Patabendige, J.

Counsel : Dr. Romesh de Silva, P.C. with Palitha Kumarasinghe, P.C. and Niran Ankitel instructed by Rasika Wellappili for the Petitioner.
Medhaka Fernando, S.C. for the 1st to 3rd Respondents.
Sanjeewa Jayawardena, P.C. with Rukshan Senadheera instructed by Vidanapatirana Associates for the 4th and 5th Respondents.

Argued on : 21.10.2025
28.10.2025
12.11.2025

Written Submissions
tendered on : 17.12.2025 by the Petitioner.
05.02.2026 by the 1st to 3rd Respondents.
06.02.2026 by the 4th and 5th Respondents.

Decided on : 23.03.2026

Adithya Patabendige, J.

The Petitioner, Sri Lankan Airlines Limited, is a duly incorporated company in Sri Lanka and the national carrier engaged in commercial air transport operations. The Petitioner employs pilots under written contracts of employment.

This application challenges the determination of the 2nd Respondent, the Assistant Commissioner of Labour, relating to salary reductions implemented by the Petitioner in 2020 due to the COVID-19 pandemic.

Factual Background

Prior to the pandemic, the pilots employed by the Petitioner were remunerated under contracts that provided for salaries denominated in United States dollars. Such salaries were payable at the prevailing exchange rate.

With the global spread of COVID-19 in early 2020, international air travel declined drastically, resulting in severe financial losses for airlines worldwide, including the Petitioner. In response, the Petitioner introduced salary reductions for employees. From April 2020, salaries payable in foreign currency were converted using a fixed exchange rate of 188.78 rupees per US dollar.

The 5th Respondent, Sri Lankan Airline Pilots' Guild, lodged a complaint with the 1st Respondent, the Commissioner of Labour, dated 02nd March 2021, marked **P1,** alleging that these measures were imposed unilaterally and resulted in unlawful deductions from wages. Acting on that complaint, the 3rd Respondent initiated proceedings and called for explanations from the Petitioner.

After conducting an inquiry, the 3rd Respondent concluded that the reduction constituted unauthorized deductions from wages and suggested to recover under the Wages Boards Ordinance marked **1R11**. Acting upon the findings contained in **1R11**, the Assistant Commissioner of Labour, the 2nd Respondent, issued the Order marked **P5**, directing the Petitioner to pay the deducted wages of Rs. 1,928,063,281.56.

Aggrieved by the said determination, the Petitioner has invoked the jurisdiction of this court seeking to quash the impugned decision.

Reliefs Sought

The Petitioner seeks, *inter alia,*

- A mandate in the nature of a *writ of certiorari* to quash the determination of the 2nd Respondent, marked **P5.**
- A *writ of prohibition* preventing the enforcement of the said decision,
- Other incidental reliefs.

Position of the 1st to 3rd Respondents

The 1st to 3rd Respondents contend that the inquiry was conducted lawfully pursuant to a complaint of deducting the wages. They assert that the evidence disclosed that the Petitioner had unilaterally reduced salaries otherwise payable under the contract of employment.

It is their position that the Petitioner failed to produce adequate documentary justification for the deductions, whereas the Respondents produced a detailed computation of the amounts due.

The 3rd Respondent further maintains that the inquiry was conducted after affording the Petitioner an opportunity to present its position, and a determination was issued after considering material submitted by both parties. Accordingly, they deny any violation of Natural Justice.

Position of the 4th and 5th Respondents

The 4th and 5th Respondents have filed formal objections opposing the application. Their position substantially supports the determination made by the 3rd Respondent.

They aver that the salary reductions were imposed unilaterally without the consent of employees, especially the pilots, and without statutory authority. Particular reliance is placed on the contractual terms governing remuneration and the salary records produced during the inquiry proceedings.

They further contend that the Petitioner altered the method of salary computation, including adopting a fixed exchange rate for USD-based remuneration, thereby reducing the salaries payable to the pilots.

In addition, the 4th and 5th Respondents raised a preliminary objection that the Petitioner has failed to disclose material facts relating to the inquiry proceedings and the documentary evidence considered by the 3rd Respondent.

Issues for Determination

The principal issues that arise for determination are,

- Whether the 3rd Respondent acted within the jurisdiction,
- Whether the applicable statute was correctly applied.
- Whether the principles of natural justice were violated.
- Whether the impugned determination is illegal, irrational, or otherwise liable to be quashed in the exercise of writ jurisdiction.

Alleged Suppression of Material Facts

A principal objection raised by the Respondents is that the Petitioner has not made a full and frank disclosure of all material facts.

It is contended that the petitioner omits or inadequately discloses,

- The full contents of the complaint lodged by the pilot's guilt.
- The communications initiating the inquiry.
- The salary data and computations submitted during the Proceedings.
- The extent and method of salary reduction adopted by the Petitioner.
- The participation of the Petitioner in the inquiry process.

It is well established that the Petitioner invoking writ jurisdiction must approach the court with utmost candor. However, not every omission constitutes suppression. The Court must

determine whether the omitted facts are material and whether their non-disclosure would have affected the exercise of discretion.

Having considered the pleadings and documents, I am of the view that although certain aspects of the inquiry proceedings are not fully set out in the Petition, the essential nature of the dispute has been disclosed. Therefore, the alleged nondisclosure does not by itself warrant dismissal of the application. The Court must be satisfied that any alleged nondisclosure was both material and deliberate and that it would have affected the exercise of the Court's discretion.

Jurisdiction and Applicable Law

The Petitioner contends that the proceedings were initiated under the Industrial Disputes Act, but the determination was made under the Wages Boards Ordinance. Thereby, rendering the decision without jurisdiction.

Inquiry Initiation under the Industrial Disputes Act

The Petitioner further contends that the proceedings were initiated under the Industrial Disputes Act and that a determination under the Wages Boards Ordinance is therefore invalid.

I am unable to accept this contention.

The complaint throughout concerned salary reductions implemented by the Petitioner and the resulting short payment of wages. The Petitioner was aware of the nature of the allegations, participated in the inquiry, submitted explanations, and produced documentary material relating to the salary structure and the measures adopted.

In these circumstances, the Petitioner cannot be said to have been misled as to the subject matter of the proceedings or deprived of an opportunity to present its case and thereby violates natural justice.

The validity of administrative action must be determined by the substance of the matter rather than the terminology used in preliminary communications. Even if reference was initially made to the Industrial Disputes Act, such reference does not invalidate the subsequent

decision under the statutory provisions governing payment of wages where the facts disclose a matter falling within that framework.

In order to examine this contention, it is necessary to consider the scheme of the Wages Boards Ordinance.

Structure of the Ordinance

The Ordinance is divided into two parts,

- Part I — Provisions relating to all trades.
- Part II — Provisions relating to particular trades.

Part I contains general provisions applicable to workers employed in any trade, whereas Part II applies only to specific trades for which Wages Boards have been established and decisions made.

The present dispute does not concern minimum wages or conditions of employment fixed by a Wages Board under Part II. It concerns alleged reduction and short payment of wages otherwise payable under contracts of employment. Therefore, the applicability of Part I must be examined.

Section 2 - Payment of Wages

Section 2(a) of the Ordinance provides that,

The employer of workers in any trade shall comply with the following provisions of this section regarding the payment of wages to every such worker: -

(a) He shall, subject as hereinafter provided, pay such wages in legal tender directly to the worker, without any deduction other than an authorized deduction, as hereinafter defined, made with the consent of the worker:

Provided that the aggregate of the deductions so made at any one time shall not exceed,

(i) seventy-five per centum of the wages due, in the case of a worker in any trade specified by the Minister for the purposes of this paragraph by Notification published in the Gazette; and

(ii) fifty per centum of the wages due, in the case of a worker employed in any other trade;

Provided, further, that nothing in the preceding provisions of this paragraph shall affect or be deemed to affect-

(i) any deduction authorized to be made from such wages by the Income Tax Ordinance* or any other written law; or

(ii) any retention or payment of the whole or any part of such wages made in pursuance of or compliance with any order, process or decree made or issued by any court of law.

For the purposes of this paragraph a payment which, immediately after the wages are paid to the worker, is made out of the wages by the worker to the employer or to an agent of the employer, shall be deemed to be a deduction from the wages.

In this paragraph "authorized deduction" means a deduction made in such manner and subject to such conditions, if any, as may be prescribed in respect of-

(i) any advance of money made by the employer to the worker,

(ii) any payment which, at the instance of the worker, is made out of the wages of the worker by the employer to any person other than the employer or an agent of the employer in order to discharge any obligation of the worker or for any other purpose, or

(iii) any other prescribed matter.

The section sets limits on deductions and recognizes only those authorized by law or made with the worker's consent.

This provision applies to employers of workers **"in any trade."** It is not confined to trades governed by a Wages Board decision.

In the present case, the complaint before the labour authorities was that the Petitioner unilaterally reduced salaries otherwise payable under the contracts of employment by adopting a fixed exchange rate and other measures. Such an allegation directly concerns deductions from wages and therefore falls within the scope of Section 2.

Section 3 - Wage Records

Section 3 requires employers to maintain clear and accurate wage records specifying, *inter alia*:

- the wage period,
- the workers paid,
- the wages paid,
- the date of payment, and
- deductions made.

The purpose of this provision is to enable verification of whether wages due have been properly paid.

Section 3D — Recovery of Short Payment

Section 3D empowers the Commissioner of Labour, where proper wage records are not maintained or produced, to assess the wages or short payment of wages on the basis of available evidence and to recover such sums through the statutory mechanism.

This provision is directly relevant to complaints alleging short payment or unlawful deductions.

The complaint in the present case was precisely that the salaries contractually payable were reduced. Therefore, the proceedings conducted by the labour authorities fall squarely within the recovery framework provided by Section 3D.

Interpretation Section (Section 64)

Section 64 defines several key terms.

The term **"trade"** is defined broadly to include:

"any industry, business, undertaking, occupation, profession or calling…"

An airline company engaged in commercial air transport clearly falls within the ordinary meaning of an "industry" or "business."

The term **"wages"** includes:

"any remuneration due in respect of overtime work or of any holiday."

It indicates that remuneration payable for employment is within the scope of the Ordinance.

The term **"worker"** is defined as: (within the meaning of employer)

"any person employed to perform any work in any trade."

Pilots employed by the Petitioner to perform duties in its airline operations fall within this definition.

Accordingly, the definitions contained in Section 64 are sufficiently wide to encompass the employment relationship in question.

Section 65 - Effect of the Ordinance

Section 65 provides that, subject to express provisions to the contrary, the Ordinance shall have effect notwithstanding anything contained in any other written law, and in case of conflict, its provisions shall prevail.

While this section does not itself create jurisdiction, it reflects the legislative intention that the provisions relating to payment of wages operate with overriding force where applicable.

Having regard to the structure of the Ordinance and the nature of the complaint, I am of the view that,

- The provisions of Part I of the Wages Boards Ordinance are applicable to all trades, including the employment in question.
- The complaint of unilateral salary reduction and short payment falls within Sections 2, 3, and 3D.
- The definitions contained in Section 64 encompass the Petitioner's undertaking and the employees concerned.
- The Petitioner was aware of the nature of the inquiry and suffered no prejudice.
- The 2nd Respondent did not act without jurisdiction in issuing the determination marked **P5** based on the findings contained in document **1R11**.

Whether the Principles of Natural Justice were Violated

The Petitioner contends that the inquiry conducted by the 3rd Respondent was procedurally unfair and that the determination was issued in violation of the principles of natural justice.

The material placed before the Court, especially the document dated 23rd March 2021, marked **1R2**, discloses that upon receipt of the complaint lodged by the 5th Respondent, the 3rd Respondent informed the Petitioner of the date of the inquiry and sent a copy of the complaint of the 5th Respondent. Both parties participated in the inquiry dated 09th April 2021, as reflected in the proceedings of that date, marked **1R3**.

The 3rd Respondent, by his letter dated 01st November 2021, marked **1R5,** informed the Petitioner to submit all the documents relevant to the complaint made by the 5th Respondent. The document dated 15th November 2021, marked **1R6,** indicates that both parties had participated on that date.

The Petitioner and the 5th Respondent filed their written submissions on 22nd November 2021, marked **1R7** and 06th of May 2021, marked **1R4**, respectively.

The inquiry report marked **1R11** reflects that the 3rd Respondent considered the positions of both parties, examined the salary data, and made findings regarding the unilateral reduction of wages.

There is no material to suggest that the Petitioner was denied notice of the allegations, an opportunity to be heard, or the opportunity to place relevant material before the inquiry officer. Nor is there evidence that any relevant submissions made by the Petitioner were disregarded without consideration.

The Petitioner has made a general allegation that the 3rd Respondent acted in breach of the principles of natural justice. However, the Petition does not specify which component of natural justice was allegedly violated or how the alleged violation occurred.

A party alleging a breach must demonstrate, with particularity, how these principles have been infringed and how such infringement has caused prejudice.

A bare assertion of violation of natural justice, unsupported by specific facts, is insufficient to invoke the supervisory jurisdiction of this Court. Judicial review is concerned with demonstrable procedural unfairness, not speculative or generalized allegations.

Natural justice does not require a formal trial-type hearing unless expressly provided by statute. What is required is a fair opportunity to present a case.

In the present case, the Petitioner actively participated in the proceedings and cannot now contend that the fair hearing was not given.

Accordingly, I find no violation of the principles of natural justice.

Reasons of the 3rd Respondent

The Petitioner further contends that the impugned determination is arbitrary and unsupported by adequate reasons.

The order marked **P5,** issued by the 2nd Respondent, is based on the inquiry findings contained in document **1R11**. The inquiry report sets out

- the nature of the complaint.
- the contractual basis of remuneration.
- the method of salary reduction adopted.
- the evidence submitted by both parties.
- the conclusion that the reduction constituted unauthorized deductions.

Attention is drawn to the contents, especially paragraphs 1 to 6 of the **1R11,** which state as follows.

01. ඉහත කාරණය සම්බන්ධයෙන් ශ්‍රී ලංකා ගුවන් සමාගමේ සේවය කරන ගුවන් කපිතාන් වරුන්ගේ 2020/04 මස සිට මේ දක්වා ඔවුන්ගේ එකඟතාවයෙන් තොරව ආයතනය ඔවුන්ගේ වැටුපෙන් වැටුප් අඩුකර ගෙවීම පිළිබඳව කරන ලද පැමිණිල්ල හා බැඳේ.

02. මෙහිදී ආයතනය සේවක එකඟතාවයෙන් තොර ගුවන් කපිතාන්වරුන්ගේ වැටුප් අඩුකර ගෙවන අතර තවද ඔවුන්ගේ පත්වීම් ලිපියේ කොන්දේසි අනුව ඔවුන්ට වැටුප් ගෙවීම ඩොලර්වලින් සිදුවන අතර රටේ පවතින ඩොලරයට සාපේක්ෂව රුපියල් අගය හා වැටුප් ගෙවීමට එකඟ වී ඇති නමුත් 2020/04 මස සිට ඩොලරයට සාපේක්ෂව රුපියල වෙනස්වීම හා වැටුප් නොගෙවන අතර ආයතනය විසින් 2020/04 මස සිට නිශ්චිත අගයන් වන රු.188.78 අගය මත ගණනය කර එම සේවකයන්ට වැටුප් ගෙවේ.

03. ඒ අනුව දෙපාර්ශවය අතර පවතින පත්වීම් ලිපියේ කොන්දේසි කඩකිරීමක් වන අතර ආයතනය ඒකපාර්ශිකව තීරණය කර එම අගය මත ගණනය කර වැටුප් ගෙවීම නීත්‍යානුකූල නොවේ.

04. ව/උ පාර්ශවය එම කරුණු පිළිගන්නා අතර නමුත් මෙතෙක් දෙපාර්ශවය අතර ඒ සඳහා එකඟතාවයක් නොමැත.

05. ව/උ පාර්ශවය විසින් සේවක වැටුප් අඩු කිරීම පිළිබඳව විස්තර කාර්යාලය වෙත ඉදිරිපත් නොකරන ලද අතර පැමිණිළි පාර්ශවය විසින් අදාල ලේඛන ඉදිරිපත් කර ඇත.

<u>නිර්දේශය</u>

01 ආයතනය විසින් සේවක එකඟතාවයකින් තොරව සේවක වැටුප් අඩුකිරීමක් කර ගෙවීම්කර ඇති අතර එම හිඟ වැටුප පැමිණිළි පාර්ශවය විසින් ලබා දුන් තොරතුරු ලේඛන අනුව ගණනය කර ඇත (අමුණා ඇත).

02 ඒ අනුව එම හිඟ මුදල් අයකර ගැනීම සඳහා නිවේදන යැවීම සුදුසු ය.

A careful examination of paragraphs 1 to 7 of the inquiry report marked **1R11** reveals that the 3rd Respondent has identified the essential factual and legal components of the dispute and recorded findings thereon. The report notes that the complaint concerned the reduction of pilots' salaries from April 2020 without their consent, notwithstanding that the contracts of employment provided for remuneration in United States dollars, calculated at the prevailing exchange rate. It further observes that, instead of paying salaries in accordance with those contractual terms, the Petitioner had adopted a fixed exchange rate of Rs. 188.78 per US dollar from April 2020, resulting in reduced payments. The 3rd Respondent characterizes this conduct as a unilateral departure from the contractual basis of remuneration and therefore not legally justified. Significantly, the report records that, while the Petitioner acknowledged the reduction in salaries, no agreement between the parties had been reached authorizing such a variation. The 3rd Respondent also notes that the Petitioner failed to submit detailed particulars of the deductions, whereas the complainant party furnished documentary material enabling computation of the alleged shortfall. On that basis, the inquiry concludes that unauthorized deductions had occurred and recommends that steps be taken to recover the arrears calculated from the information supplied by the complainant.

Accordingly, the report cannot be regarded as devoid of reasons. It discloses the complaint considered, the contractual framework, the factual findings regarding unilateral reduction, the

evidentiary basis relied upon, and the rationale for the recommended course of action. The correctness or merits of the conclusion reached by the 3rd Respondent cannot be examined in proceedings for judicial review.

Administrative decisions are not required to contain elaborate judicial reasoning. It is sufficient if the decision discloses the basis upon which it was made.

The House of Lords, in the case of South Bucks District Council and another v Porter (FC) [2004] UKHL 33, considered this issue, and Lord Brown *stated that the reasons for a decision must be intelligible, and they must be adequate. They must enable the reader to understand why the matter was decided as it was and what conclusions were reached on the "principal important controversial issues", disclosing how any issue of law or fact was resolved. Reasons can be briefly stated, the degree of particularity required depending entirely on the nature of the issues falling for decision. The reasoning must not give rise to a substantial doubt as to whether the decision-maker erred in law, for example by misunderstanding some relevant policy or some other important matter or by failing to reach a rational decision on relevant grounds. But such adverse inference will not readily be drawn. The reasons need refer only to the main issues in the dispute, not to every material consideration.*

The reasons in the inquiry report (**1R11**), read together with the formal order (**P5**), adequately disclose the factual and legal basis for the determination.

Therefore, the impugned decision cannot be characterized as arbitrary or unreasonable.

Impact of Covid -19 and Salary Reduction

A central argument advanced by the Petitioner is that salary reductions were implemented across the global aviation industry during the COVID-19 pandemic and that the measures adopted were necessary for survival.

There is no doubt that the pandemic caused unprecedented disruption to international air transport and severe financial hardship to airline operators worldwide. Many airlines implemented temporary cost-cutting measures, including reductions in remuneration.

However, the legality of such measures in Sri Lanka must be determined in accordance with applicable domestic law and the contractual rights of employees.

The fact that similar measures were adopted in other countries or by other airlines does not, by itself, justify unilateral reductions as lawful under Sri Lankan law.

Where contracts of employment specify the remuneration payable, any alteration of those terms ordinarily requires consent or statutory authority unless the contract itself permits variation.

Accordingly, the global practice relied upon by the Petitioner cannot, by itself, override the contractual rights of employees or the statutory protections governing the payment of wages under the Wages Boards Ordinance.

In this regard, the decision of the ***House of Lords in Rigby v Ferodo Ltd [1988] ICR 29*** is instructive. In that case, **the employer, faced with financial difficulties**, imposed a wage reduction without the consent of the employee. The employee continued to work under protest and later claimed the difference between the contractual wage and the reduced amount paid. The employer contended that the employee had accepted the new terms by continuing in employment or that the reduction terminated the original contract.

Rejecting those arguments, ***Lord Oliver of Aylmerton*** held that *it is common ground that the unilateral imposition by an employer of a reduction in the agreed remuneration of an employee constitutes a fundamental and repudiatory breach of the contract of employment which, if accepted by the employee, would terminate the contract forthwith*.

The decision further establishes that even where an employee continues to work, such conduct does not necessarily amount to acceptance of the new terms, particularly where the reduction is disputed or accepted under protest.

Accordingly, while the economic consequences of the COVID-19 pandemic are undeniable, such circumstances cannot, without more, displace contractual obligations or statutory protections governing the payment of wages. The critical inquiry remains whether the reduction was effected in a manner authorized by law or by agreement of the parties.

Suggestion of Reference for Industrial Arbitration by the 3rd Respondent

The Petitioner states that during the inquiry proceedings, the 3rd Respondent suggested that the dispute be referred for industrial arbitration, but that the 1st and 2nd Respondents failed to take steps in that regard (vide. **P3**).

Under Section 3 of the Industrial Disputes Act, the power to refer a dispute for arbitration lies with the Minister and is exercised at his discretion.

The failure to make such a reference does not invalidate proceedings otherwise lawfully conducted under another statute, nor does it confer a right upon a party to insist upon arbitration.

The 1st to 3rd Respondents have taken the position that, since the Petitioner admitted implementing the salary reductions, the dispute concerned the recovery of short-paid wages rather than an unresolved industrial dispute warranting arbitration.

In any event, the absence of a reference for arbitration does not affect the validity of the determination made under the Wages Boards Ordinance.

Rationality and Legality of the Decision

In an application for judicial review, the intervention of the Court is warranted only where the decision is

- illegal or made without jurisdiction.
- irrational or unreasonable.
- procedurally unfair.

In the present case,

- The inquiry was conducted by a Labour Officer, the 3rd Respondent.
- The subject matter concerned alleged unlawful deductions from wages.
- The Petitioner participated in the proceedings.
- Reasons for the determination are available.

- No procedural unfairness is established.

The Court cannot interfere merely because another view may be possible on the merits.

Conclusion

Having considered all the material placed before the Court, I hold that,

- The 3rd Respondent, Labour Officer, acted within his jurisdiction.
- The applicable statutory provisions were correctly invoked.
- The Petitioner was afforded a fair opportunity to present its case.
- The determination is supported by reasons.
- No ground has been established for the exercise of writ jurisdiction.

Accordingly, the application must fail.

Order

For the foregoing reasons, I find no basis to interfere with the impugned determination. Accordingly, the application for *Writs of Certiorari* and *Prohibition* is refused and dismissed.

In the circumstances of the case, I make no order as to costs.

JUDGE OF THE COURT OF APPEAL

Dhammika Ganepola, J

I agree.

JUDGE OF THE COURT OF APPEAL